

Travel & Expense Policy — Overview

Document: TEP-001 **Version:** 3.2 **Effective Date:** January 1, 2025 **Owner:** Finance Operations
Applies To: All Northwind Logistics employees, contractors, and authorized agents

1. Purpose

This policy establishes the rules and procedures governing business travel and the reimbursement of business expenses incurred by employees of Northwind Logistics ("the Company"). All employees are responsible for understanding and complying with this policy.

2. Scope

This policy applies to all expenses incurred in the course of business travel, client entertainment, conference attendance, and ordinary business operations where Company funds are committed or reimbursed.

3. General principles

3.1. **Business purpose.** Every reimbursable expense must have a clear and documented business purpose. The Company does not reimburse personal expenses under any circumstances.

3.2. **Reasonableness.** Expenses must be reasonable, necessary, and incurred at the lowest practical cost consistent with effective business performance.

3.3. **Documentation.** All expenses must be supported by original itemized receipts as detailed in the Receipt Requirements Policy (TEP-007).

3.4. **Timeliness.** Expense reports must be submitted within 30 days of the end of the trip. Expenses submitted more than 60 days after they were incurred will not be reimbursed except by VP-level exception.

4. Approval workflow

4.1. Expenses up to \$1,000 per submission: direct manager approval.

4.2. Expenses \$1,000–\$5,000: Director approval required.

4.3. Expenses above \$5,000: VP approval required.

4.4. Approval thresholds are cumulative per submission, not per line item.

5. Related policies

This policy is supplemented by the following, each of which controls in the area of its subject matter:

- TEP-002 Meals and Entertainment Policy
- TEP-003 Alcohol Policy
- TEP-004 Lodging Policy
- TEP-005 Air Travel Policy
- TEP-006 Ground Transportation Policy
- TEP-007 Receipt Requirements Policy
- TEP-008 Per-Diem Rates
- TEP-009 Employee Grades Reference
- TEP-010 Corporate Card Policy
- TEP-013 International Travel Policy
- TEP-014 Conference Attendance Policy

6. Audit and enforcement

6.1. Finance Operations conducts random and risk-based audits of submitted expense reports. Selected submissions will require additional documentation.

6.2. Violations of this policy may result in non-reimbursement, requirement to repay, or disciplinary action up to and including termination, depending on severity and intent.

6.3. Repeat or willful violations are escalated to HR and the relevant business unit head.

7. Exceptions

Exceptions to this policy require written approval from the CFO or designated delegate prior to incurring the expense. Retroactive exception requests are strongly discouraged and granted only in genuine emergencies.

8. Definitions

For purposes of this policy and the broader Travel & Expense framework:

- **Reimbursable** — Eligible for repayment by the Company subject to compliance with applicable policy and supporting documentation.
- **VP approval** — Written approval from a Grade 9 employee or above per TEP-009 §3.2. Email is sufficient unless otherwise specified.
- **Approved booking tool** — Concur Travel, the Company's contracted travel booking platform.
- **Corporate Card** — A payment card issued in the employee's name under the Corporate Card Policy (TEP-010).

- **Submission** — An expense report submitted via Concur or successor system, comprising one or more line items each supported by appropriate documentation.
- **Audit** — Random or risk-based review of submitted expense reports by Finance Operations, supplemented by external audit as required.

9. Related documents

This policy anchors the Northwind Logistics Travel & Expense framework. Related documents:

- TEP-002 Meals and Entertainment Policy
- TEP-003 Alcohol Policy
- TEP-004 Lodging Policy
- TEP-005 Air Travel Policy
- TEP-006 Ground Transportation Policy
- TEP-007 Receipt Requirements Policy
- TEP-008 Per-Diem Rates
- TEP-009 Employee Grades Reference
- TEP-010 Corporate Card Policy
- TEP-012 Gifts and Entertainment Policy
- TEP-013 International Travel Policy
- TEP-014 Conference Attendance Policy
- COC-001 Code of Conduct
- REC-001 Records Retention Schedule (for retention of expense documentation)
- SEC-301 Travel Risk and Security Protocol (for international travel)

10. Document control

Version	Date	Author	Change
1.0	2020-01-15	A. Singh	Initial publication
2.0	2022-03-12	A. Singh	Restructure post-pandemic; tightened approval thresholds
3.0	2024-02-08	J. Whitman	Aligned with new submission tooling; added audit section
3.1	2024-08-20	J. Whitman	Minor clarifications
3.2	2025-01-01	J. Whitman	Annual review

Next scheduled review: 2026-01-01 **Document owner:** Finance Operations fin-ops@northwindlogistics.com **Approver:** S. Chen, VP Finance **Distribution:** All employees; available on intranet at intranet.northwindlogistics.com/policies/tep-001

Meals and Entertainment Policy

Document: TEP-002 **Version:** 2.4 **Effective Date:** January 1, 2025 **Owner:** Finance Operations

1. Scope

This policy governs the reimbursement of meal expenses incurred during business travel, in-office working meals, and client entertainment. Alcohol-related rules are addressed separately in TEP-003 (Alcohol Policy).

2. Per-meal caps for individual business travel

Meal expenses incurred by an employee traveling on business, when dining alone or with other Northwind employees, are subject to the following per-person caps (inclusive of tax and tip):

Meal	Cap (USD)
Breakfast	\$25
Lunch	\$35
Dinner	\$75

2.1. The caps in Section 2 apply per person per meal. Multiple meals stacked under one receipt (e.g., a brunch combining breakfast and lunch) are subject to the higher applicable cap.

2.2. Expenses above these caps are not reimbursable except under Section 4 (Client Entertainment) or Section 5 (Exceptions).

2.3. **High-cost cities.** Caps are increased by 25% for travel in Tier 1 cities (see Lodging Policy TEP-004 §3 for the current Tier 1 list).

3. Tips

Tips above 20% of the pre-tax meal total are considered personal and are not reimbursable.

4. Client entertainment

4.1. Meal expenses incurred while hosting clients, prospects, or external partners are governed by separate caps:

- Lunch: up to \$80 per person
- Dinner: up to \$150 per person

4.2. Client entertainment expenses **above** \$100 per person require prior written approval from a Vice President or higher.

4.3. The employee must record on the receipt or expense report:

- Names of all attendees
- The business purpose of the meeting
- The name of the company or organization represented by each external attendee

4.4. Entertainment of family members, friends, or non-business contacts is never reimbursable, regardless of who else is present.

5. Exceptions to per-meal caps

5.1. Where a meal is part of a conference, training, or off-site whose registration fee includes meals, the registration fee covers the meal and no separate meal reimbursement is permitted.

5.2. Where a meal is unavailable at or below the cap due to extraordinary circumstances (e.g., the only open restaurant in a small town has a \$90 dinner menu), the employee may submit the actual cost with written explanation; reimbursement requires manager approval.

5.3. Standing exceptions are not granted. Each exception is reviewed individually.

6. Non-reimbursable categories

The following are never reimbursable as meal expenses:

- Alcoholic beverages on solo travel (see TEP-003)
- Mini-bar items from hotel rooms
- Meals for accompanying spouses, family members, or guests not on company business
- "Recovery" or "team morale" meals not pre-approved by manager

7. Frequently asked questions

7.1. *"My breakfast at the hotel was charged as \$32 because of a 'destination resort breakfast' fee. Is this reimbursable?"* The mandatory portion bundled into a daily resort fee is reimbursable as part of the room rate (see TEP-004 §4.2). The breakfast itself counts against the breakfast cap; reasonable overages within the resort context may be approved by your manager.

7.2. *"I attended a team off-site where one Northwind colleague is technically a contractor. Does that count as client entertainment?"* No. Contractors paid by the Company are not external clients for purposes of this policy. Apply standard per-meal caps.

7.3. *"The check arrived late and I tipped the server in cash beyond what's on the receipt. Is the cash tip reimbursable?"* The tip must be reflected on the receipt or submitted with a Missing Receipt

Affidavit (TEP-007 §4.2) describing the cash portion. Reimbursement remains capped at 20% per Section 3.

7.4. "My client picked up the check. Can I expense my entertainment of them at our next meeting instead?" Yes, subject to the standard caps and approval requirements. Each entertainment event is evaluated independently.

8. Definitions

- **Meal** — Breakfast, lunch, or dinner consumed in the course of business travel or business activity. Snacks, coffees, and small purchases under \$10 are not "meals" for cap purposes and are tracked as incidentals.
- **Client entertainment** — A meal or event hosted by a Company employee for one or more external clients, prospects, or business partners, with the primary purpose of relationship development.
- **Itemized receipt** — A receipt showing each individual item or charge, as defined in TEP-007 §3.
- **High-cost city** — A city in Lodging Tier 1 per TEP-004 §3. The current Tier 1 list is the controlling list for meal-cap purposes.

9. Related documents

- TEP-001 Travel & Expense Policy — Overview
- TEP-003 Alcohol Policy (controls all alcohol-related rules)
- TEP-004 Lodging Policy (Tier 1 list, resort fees, mini-bar)
- TEP-007 Receipt Requirements Policy (itemization standard)
- TEP-008 Per-Diem Rates (alternative meal reimbursement)
- TEP-012 Gifts and Entertainment Policy (per-person caps for entertainment)
- COC-001 Code of Conduct

10. Document control

Version	Date	Author	Change
1.0	2020-01-15	A. Singh	Initial publication
1.5	2021-09-10	A. Singh	Cap adjustment to \$75 dinner per CFO memo of 2021-08
2.0	2022-11-20	J. Whitman	Restructured client entertainment section
2.3	2024-06-04	J. Whitman	Added high-cost city uplift
2.4	2025-01-01	J. Whitman	Annual review

Next scheduled review: 2026-01-01 **Document owner:** Finance Operations fin-ops@northwindlogistics.com **Approver:** S. Chen, VP Finance **Distribution:** All employees; available on intranet at intranet.northwindlogistics.com/policies/tep-002

Alcohol Policy

Document: TEP-003 **Version:** 1.8 **Effective Date:** January 1, 2025 **Owner:** Finance Operations, in coordination with Human Resources

1. Scope

This policy governs the reimbursement of alcoholic beverages charged to the Company, whether on a Corporate Card, personal card with reimbursement request, or in any other form.

2. General rule

Alcoholic beverages are reimbursable only when incurred during sanctioned client entertainment.

2.1. "Sanctioned client entertainment" means a meal or event hosted by a Northwind employee for one or more external clients, prospects, or business partners, where the primary purpose is the development or maintenance of a business relationship.

2.2. Sanctioned client entertainment involving alcohol requires:

- At least one external attendee to be physically present
- Prior approval from a Vice President or higher, documented in writing (email is sufficient)
- A per-person alcohol spend that does not exceed \$50

3. Prohibited charges

The following alcohol-related charges are **never reimbursable**, even if charged on the Corporate Card:

3.1. **Solo travel.** Any alcoholic beverage purchased while traveling on business without external clients present. This includes drinks at hotel bars, with meals taken alone, or at airport lounges, regardless of amount.

3.2. **Team-only meals.** Alcohol consumed at meals attended only by Northwind employees, including offsite dinners, holiday gatherings (unless explicitly designated as a Company event with HR approval), and team morale events.

3.3. **In-room consumption.** Alcohol purchased through hotel room service or mini-bars under any circumstances.

3.4. **Excess of cap.** The portion of any alcohol charge exceeding the \$50 per-person cap defined in Section 2.2.

3.5. **Personal consumption disguised as a meal.** Alcohol charges where the food portion of the receipt is minimal (less than 50% of the receipt total) will be reviewed for compliance and may be denied.

4. Reporting requirements

4.1. When alcohol is included on a reimbursable receipt, the alcohol portion must be itemized separately on the expense report, even when bundled with food on the same receipt.

4.2. The expense report must identify:

- All attendees (employees and externals)
- The VP-level approver for the entertainment
- The business purpose

5. Non-reimbursement and recovery

5.1. If a Corporate Card charge for alcohol is found to violate this policy in audit, the employee is responsible for repaying the Company within 30 days of notification.

5.2. Repeated violations are referred to HR for disciplinary review.

6. Local law

In jurisdictions where alcohol consumption or purchase is restricted by law (e.g., dry counties, certain international destinations), this policy yields to local law and no alcohol expenses will be reimbursed regardless of business context.

7. Examples and edge cases

7.1. **Solo dinner with a beer.** Employee A on a solo trip to Denver orders a \$58 dinner including one \$9 beer. The \$9 alcohol charge is not reimbursable per §3.1. The \$49 food portion remains reimbursable subject to TEP-002 §2 caps. The line item should be flagged and only the food portion reimbursed.

7.2. **Working dinner with two Northwind colleagues.** Three Northwind employees dine together while traveling for the same project. Alcohol is not reimbursable per §3.2 (team-only meal). The food portion is reimbursable subject to per-person caps in TEP-002 §2.

7.3. **Pre-arranged client entertainment.** A Director and a Senior Manager host two external customers for dinner with prior VP approval documented by email. Alcohol per person is reimbursable up to \$50, food up to the entertainment cap in TEP-002 §4. Receipt must itemize alcohol separately per §4.1.

7.4. **Conference attendee reception.** A conference reception included drinks as part of the registration. No incremental alcohol charge to the Company occurs; the registration fee is reimbursable under TEP-014.

7.5. **Hotel mini-bar wine.** Never reimbursable, regardless of business context (§3.3).

8. Definitions

- **Alcohol** — Any beverage containing ethyl alcohol at a concentration greater than 0.5% by volume. Includes beer, wine, spirits, hard seltzer, and prepared cocktails.
- **Sanctioned client entertainment** — As defined in §2.1.
- **External attendee** — A person who is not a current employee of Northwind Logistics or its affiliates. Contractors and consultants paid by the Company are not external attendees.
- **Itemization** — A receipt showing alcohol charges separately from food charges, sufficient to identify the alcohol portion as a discrete amount.

9. Related documents

- TEP-002 Meals and Entertainment Policy
- TEP-007 Receipt Requirements Policy (itemization standard)
- TEP-010 Corporate Card Policy (use of card)
- TEP-012 Gifts and Entertainment Policy (broader hospitality framework)
- COC-001 Code of Conduct (§7 Gifts and Entertainment principles)

10. Document control

Version	Date	Author	Change
1.0	2019-04-08	A. Singh	Initial publication
1.5	2021-02-22	A. Singh	Strengthened solo-travel prohibition after FY20 audit findings
1.7	2023-06-15	J. Whitman	Added mini-bar clause
1.8	2025-01-01	J. Whitman	Annual review

Next scheduled review: 2026-01-01 **Document owner:** Finance Operations, in coordination with HR fin-ops@northwindlogistics.com **Approver:** S. Chen, VP Finance; concurrence from CPO
Distribution: All employees; available on intranet at intranet.northwindlogistics.com/policies/tep-003

Lodging Policy

Document: TEP-004 **Version:** 2.1 **Effective Date:** January 1, 2025 **Owner:** Finance Operations

1. Scope

This policy governs the reimbursement of lodging expenses (hotels, short-term rentals, and equivalent) incurred during business travel.

2. Booking requirements

2.1. Lodging should be booked through the Company's approved booking tool (Concur Travel) whenever practical. Bookings outside the tool require manager approval and a brief justification.

2.2. Employees should book lodging at least 14 days in advance whenever the trip is planned that far ahead. Last-minute bookings (under 7 days) require manager approval if the rate exceeds the applicable cap.

3. City tier rate caps

Maximum reimbursable nightly rate (room rate plus mandatory taxes and resort fees; excludes incidentals):

Tier 1 — \$350 per night

New York, NY; San Francisco, CA; Boston, MA; Washington, DC; Los Angeles, CA; Seattle, WA; London, UK; Zurich, CH; Tokyo, JP; Singapore, SG.

Tier 2 — \$250 per night

Chicago, IL; Denver, CO; Atlanta, GA; Austin, TX; Dallas, TX; Houston, TX; Miami, FL; Portland, OR; San Diego, CA; Toronto, ON; Amsterdam, NL; Berlin, DE; Sydney, AU.

Tier 3 — \$175 per night

All other locations within the United States and Canada.

Tier 4 — Submit for approval

International destinations not listed above. Rate cap is set at the time of booking based on prevailing local rates and approved by Finance Operations.

4. Room category

4.1. **Standard room or equivalent** is the default category. Suites, club-level rooms, and view upgrades are not reimbursable unless they are the lowest available rate in the property or the upgrade is offered at no additional charge.

4.2. **Short-term rentals** (Airbnb, VRBO) are permitted at the applicable tier cap. Cleaning fees and service fees count toward the cap.

5. Incidentals not reimbursable

The following are never reimbursable as lodging:

- Mini-bar consumption (food or alcohol)
- In-room movies, video games, or other entertainment
- Spa, gym, or recreation surcharges (gym is reimbursable only if the hotel has a mandatory daily resort/gym fee, in which case it counts toward the room cap)
- Laundry, except for trips exceeding 5 consecutive nights
- Personal phone calls

6. Exceeding the cap

6.1. Where the city tier cap cannot be met at any available property (e.g., a conference has driven up rates citywide), the employee may submit the actual cost with manager approval and a screenshot or written explanation showing comparable rates.

6.2. Standing exceptions are not granted.

7. Cancellation and no-show charges

7.1. Cancellation charges for legitimate business reasons (trip cancelled by manager, illness, family emergency) are reimbursable.

7.2. No-show or late-cancellation charges due to employee oversight are not reimbursable.

8. Edge cases and worked examples

8.1. **Tier 1 cap exceeded due to citywide event.** A conference in San Francisco has driven hotel rates citywide to \$480/nt. The Tier 1 cap is \$350/nt. The employee may book the lowest available rate and submit screenshots of comparable rates with manager approval, per §6.1. Without that supporting documentation, the excess over \$350/nt is not reimbursable.

8.2. **Tier 2 city, premium hotel selected for convenience.** Employee books the Hyatt Regency Chicago at \$315/nt; cap is \$250. Excess is not reimbursable unless a lower-cost alternative was

demonstrably unavailable. Manager should encourage selection within cap absent an unusual circumstance.

8.3. **Tier 1 city, room with view upgrade auto-applied.** Employee did not request an upgrade but received one at check-in (no additional charge). Reimbursable as the lowest available rate.

8.4. **Short-term rental.** Employee selects an Airbnb at \$190/nt + \$75 cleaning fee + \$20 service fee = \$285 for one night in Atlanta (Tier 2, cap \$250). The cleaning and service fees count toward the cap per §4.2. The submission exceeds the cap by \$35 and is flagged.

8.5. **Mandatory resort fee.** Hotel bills \$20/nt mandatory resort fee that includes Wi-Fi and gym. This counts toward the cap per §3 (rate caps include mandatory taxes and resort fees).

9. Definitions

- **Nightly rate** — The base room rate plus all mandatory taxes, occupancy fees, tourism assessments, and resort/destination fees, divided by nights stayed. Optional incidentals (parking, laundry beyond \$5 exceptions, mini-bar) are not part of the nightly rate.
- **Tier 1 / Tier 2 / Tier 3 / Tier 4** — City classifications per §3, used for lodging rate caps and per-diem rates.
- **Concur Travel** — The Company's approved booking tool. References to "approved booking tool" mean Concur Travel.
- **Short-term rental** — Lodging provided by Airbnb, VRBO, or equivalent platform.

10. Related documents

- TEP-001 Travel & Expense Policy — Overview
- TEP-002 Meals and Entertainment Policy (mini-bar coordination)
- TEP-005 Air Travel Policy (booking-in-advance principles)
- TEP-008 Per-Diem Rates (parallel city tier classification)
- TEP-013 International Travel Policy (Tier 4 international rates)
- SEC-301 Travel Risk and Security Protocol (lodging in elevated-risk destinations)

11. Document control

Version	Date	Author	Change
1.0	2019-09-01	A. Singh	Initial publication
1.5	2021-04-20	A. Singh	City tier list refresh
2.0	2023-08-15	J. Whitman	Restructured around tier-based caps; added short-term rental section
2.1	2025-01-01		Annual review; minor city list updates

Version	Date	Author	Change
		J. Whitman	

Next scheduled review: 2026-01-01 **Document owner:** Finance Operations fin-ops@northwindlogistics.com **Approver:** S. Chen, VP Finance **Distribution:** All employees; available on intranet at intranet.northwindlogistics.com/policies/tep-004